CHAPTER 2

REVIEW OF RELATED LITERATURE AND STUDIES

Related Literature

According to (Reuschke, Mason, Syrett, 2021), this introduction to the Special Issue examines the current state of the literature on digital entrepreneurship and small business, highlighting the neglect of a significant and expanding segment of the small business sector whose futures have remained under-researched: independent contractors and freelancers who operate one-person or micro-businesses and home-based businesses that operate largely or exclusively online. Simple dichotomies like "necessity" against "opportunity" or "use" versus "non-use" of digital technologies do not adequately capture their digital prospects and opportunities. As an alternative, it is advised to take into account the physical and social settings of these more "ordinary" or "unexceptional" firms. Networks, social capital, and their spatial embedding are highlighted as supporting factors for human capital.

According to (Alshebami, 2021; Chew et al., 2022), both SMEs and entrepreneurship play a vital role in creating new job opportunities and reducing unemployment, particularly in developing countries through the establishment of start-ups, small enterprises and other income-generating activities. However, these small investments may often be hindered by various challenges, including lack of experience, lack of technical knowledge, and deficient formal and informal institutions, information asymmetry, and many other obstacles that discourage entrepreneurs from launching their enterprises. In addition to the previously mentioned obstacles, lack of financial support

represents the most critical challenge, as it can prevent the very establishment of the enterprise itself, prior to any considerations of work requirements or fixed capital.

According to (Gupta, Barzotto, & Khorasgani, 2018), investment is important to small businesses. Firms that make investments may or may not grow. However, firms that make no investment achieve no sustainable growth and may even find it difficult to maintain their survival in such highly turbulent and competitive markets to finance investment projects, a firm basically has two financing options, that is, internal and external.

According to (Bagale, G.S., Vandadi, V.R., Singh, D 2021), the significance of digitalization in increasing productivity and efficiency in Small and Medium Enterprises (SME) has been noted by researchers. Fortunately, there is little evidence that using digitization to cope with the effects of serious catastrophes like COVID-19 is effective. According to the research paper, the number of SMEs has dramatically expanded. The development of digital technology (DT) is wholly to blame for this. In this approach, digitalization automates both the process and the product, increasing both demand and quality. India's SME sector still has a lot of room for the integration of new digital technologies, given the significant potential for higher development.

According to (Pierrakis, 2019), Online peer-to-peer (P2P), business lending, where individual investors give unsecured loans directly to individual business borrowers without the intermediary of banks, has seen fast growth in recent years, However, there isn't a lot of information available right now about the people who use online P2P lending platforms to make loans. This paper analyses 630 investors' personal traits, investment preferences,

and reasons for investing using the cognitive evaluation theory and survey results from the largest P2P business financing platform in the UK, Funding Circle.

Related Studies

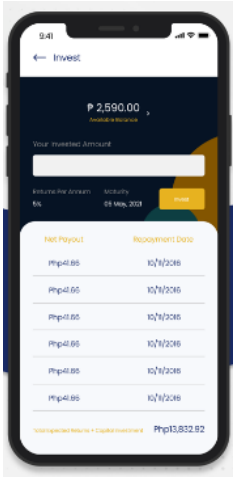


Figure 2: SeedIn Ph

SeedIn is a leading business financing platform in Southeast Asia that connects individual and corporate investors with local business that need short-term financing. SeedIn investors are also assured of their fund's security. Business projects of prospective borrowers undergo strict credit risk evaluation and are often secured by collaterals.

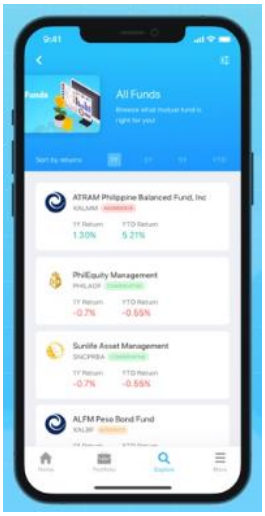


Figure 3: Investa

Investa.ph is an investment platform powered by InvestaFinancial Inc, a licensed mutual fund distribution company. Through their app, user can invest in mutual funds from top performing companies in the country. They have a decent selection of mutual funds to choose from the app itself is easy to use.

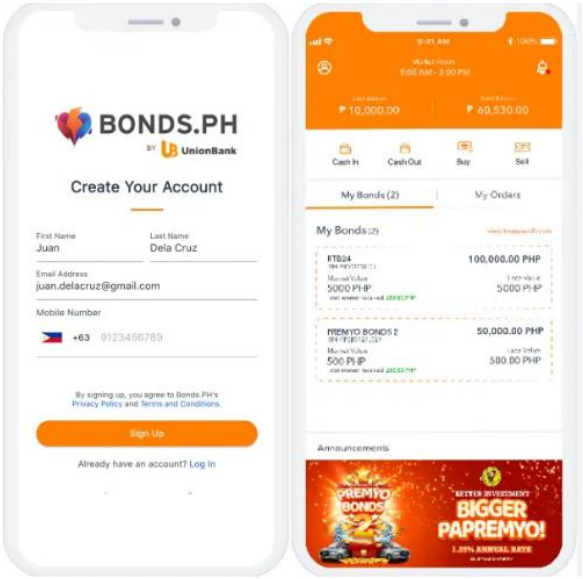


Figure 4: BONDS.PH

An app that user can invest in government bonds through mobile app 24/7 that also enables Filipinos here abroad can buy and sell bonds easily. It is operated by UnionBank in partnership of PDAX, Bonds.ph was launched by Bureau of the Treasury in July 2020 to make bond investing more convenient.

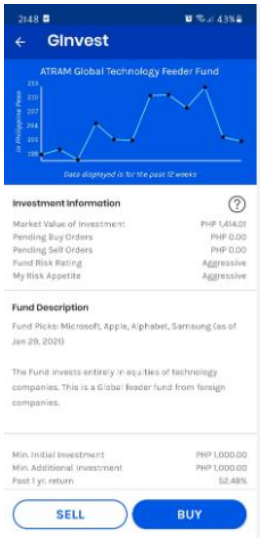


Figure 5: GInvest

GInvest is a platform within the Gcash app that helps you invest money market funds, equity funds, bonds and crypto. The idea behind it is to empower more people to try investing. Because a lot of people are already familiar with Gcash, GInvest is less intimidating.

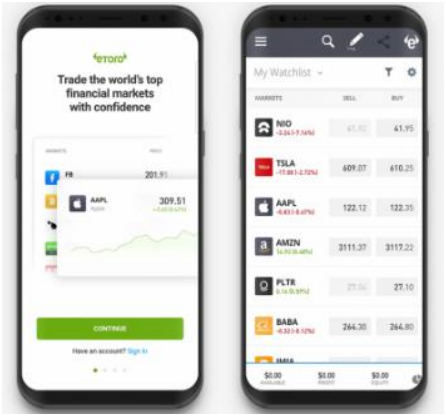


Figure 6: eToro

eToro is an app that you can use to trade and invest in popular markets around the world. They have access to both traditional and innovative financial markets and the most desirable assets. It also has all the tools you need on investing.

Comparative Matrix

A comparative matrix used to demonstrate the system's features and differentiate it from existing programs or services in the market.

Table 1: Comparative Matrix

FEATURES	SeedIn Ph	Investa	Bonds ph	GInvest	eToro	Bias
Mobile App	√	√	√	√	√	√
Web Admin Support	√	√	√	×	√	√
Verification	√	√	√	√	√	√
View Investment Status	√	√	√	√	√	√
Transaction	√	√	√	√	√	√
Availability	×	√	×	×	√	√
Notification	√	√	√	√	√	√
User Type	√	×	√	√	√	√
Interactive	×	×	×	×	×	√
Pitch	×	×	×	×	×	√
Total	**70%**	**70%**	**70%**	**60%**	**80%**	**100%**

Table 1 shows the summary of differences and similarities of the related studies. It states that these similar applications and systems have their own features that we can compare to our system. This also includes that our system can compare the uniqueness of our own features and capabilities.